SCHEDULE MPMET

 N

MULTI-PREMISE MICROGRID ENABLEMENT TARIFF N

1. APPLICABILITY N

This Multi-Premise Microgrid Enablement Tariff (MPMET) schedule (Schedule MPMET or this Schedule) is proposed by SDG&E in response to the California Public Utilities Commission's (CPUC's) August 8, 2023, *Administrative Law Judge's Ruling Ordering Pacific Gas and Electric Company, San Diego Gas & Electric Company, and Southern California Edison Company to Draft a Microgrid Multi-Property Tariff*. This MPMET governs the eligibility, engineering studies, development, and operation of Community Microgrids as defined herein. This Schedule is available to applicants (MPMET Applicants) who (i) meet the MPMET Eligibility Criteria in Section 3, and (ii) submit a complete MPMET Application (Application). Capitalized terms specific to this tariff are defined in section 14 below.

2. TERRITORY

1. This schedule applies throughout SDG&E's electric distribution service area.

2. Upon receiving an initial inquiry from a potential MPMET Applicant indicating the potential MPMET Applicant's interest in developing a Community Microgrid (CMG) in a Community Choice Aggregator's (CCA's) service area, SDG&E will advise the potential MPMET Applicant to consult with the CCA regarding the potential for collaboration with the CCA. Such collaboration may include the potential MPMET Applicant contracting with the CCA for (i) the development of CCA-owned CMG Authority Resource(s), and/or (ii) CCA purchase of power produced by non-CCA-owned CMG Authority Resource(s). N

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SCHEDULE MPMET

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MULTI-PREMISE MICROGRID ENABLEMENT TARIFF N

3. MPMET ELIGIBILITY CRITERIA N

A MPMET Applicant must meet all of the eligibility criteria outlined below (MPMET Eligibility Criteria):

1. Community Microgrid: The Community Microgrid (CMG) must meet the needs of at least two customers, or two customer premises connected by SDG&E's distribution infrastructure within the Microgrid Boundary. All customers within the Microgrid Boundary must be SDG&E retail Distribution Customers; provided that, where SDG&E determines in its sole discretion that inclusion of electrical loads or customers which do not take SDG&E retail distribution service within the Microgrid Boundary will benefit SDG&E retail Distribution Customers, SDG&E may agree to the inclusion of such loads and/or customers and will submit a notice of and justification for this determination through a Tier 1 Advice Letter.

2. Community Microgrid Parameters: The CMG must include resources owned or controlled by a CMG Authority (CMG Authority Resources) that are interconnected within the Microgrid Boundary. The CMG must have the ability to be operated as a single, controllable entity. The CMG must be able to be disconnected from, and be reconnected to, the larger portion of SDG&E's Distribution System. At least one CMG Authority Resource must have grid-forming capability capable of (i) initiating a voltage acceptable to SDG&E if the CMG is disconnected from the larger portion of SDG&E's Distribution System and is deenergized, (ii) maintaining acceptable frequency and voltage, as determined by SDG&E, when operating in Island Mode, and (iii) synchronizing with the larger portion of SDG&E's Distribution System when transitioning from Island Mode to Blue Sky Mode. CMG Authority Resources must be interconnected to SDG&E's Distribution System pursuant to SDG&E's Wholesale Distribution Access Tariff (WDAT) or Electric Rule 21.

3. Community Microgrid Application:

   a. The MPMET Applicant must submit a complete MPMET Application to SDG&E.
   b. The MPMET Applicant must also provide to SDG&E an attestation that it has retained, or will retain, technical partners with experience in the development and operation of grid-forming and grid-following resources.
   c. The MPMET Applicant must identify the entity(ies), if not the MPMET Applicant, that will be (i) developing those elements of the CMG for which the CMG Applicant has development responsibility, and (ii) the CMG Authority responsible for coordinated operation of CMG Authority Resources with SDG&E pursuant an executed Microgrid Operating Agreement (MOA). N

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SCHEDULE MPMET

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MULTI-PREMISE MICROGRID ENABLEMENT TARIFF N

4. MPMET PERIOD N

MPMET Availability Period: The MPMET shall begin on the Effective Date and shall continue thereafter until the CPUC directs, approves, or makes effective a request by SDG&E that this tariff be closed. At the close of the MPMET, this Schedule will close to new Applications and no new MOAs will be offered by SDG&E. Applications submitted prior to the close will continue to be processed under this Schedule, unless otherwise directed by the CPUC. Any MOA executed under this Schedule will continue in effect pursuant to the terms of the MOA.

5. INTERCONNECTION STUDIES

1. Each CMG Authority Resource is required to be interconnected to SDG&E's Distribution System under SDG&E's WDAT or Electric Rule 21.

2. Interconnection Study: Each CMG Authority Resource that has not already submitted an interconnection request pursuant to SDG&E's WDAT or Electric Rule 21, will require a separate application for an Interconnection Study pursuant to SDG&E's WDAT or Electric Rule 21.

3. Interconnection Agreement: Pursuant to SDG&E's WDAT or Electric Rule 21, as applicable, the Interconnection Study will identify any required Interconnection Facilities, Distribution Upgrades, or Network Upgrades. Each CMG Authority Resource is required to obtain an executed Interconnection Agreement.

4. MPMET Applicant may continue with the interconnection of resources under SDG&E's WDAT or Electric Rule 21 independent of a withdrawn MPMET Application. N

(Continued)

SCHEDULE MPMET

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MULTI-PREMISE MICROGRID ENABLEMENT TARIFF N

6. MICROGRID ISLANDING STUDY N

1. In advance of the completion of the Interconnection Study, SDG&E and the MPMET Applicant may, at each party's discretion, agree to begin the mandatory Microgrid Islanding Study.

2. Once it has received an agreement with the MPMET Applicant to do so, SDG&E will conduct a Microgrid Islanding Study, requiring cooperation of the MPMET Applicant, to ensure the operational safety and stability of the CMG during Island Mode. The Microgrid Islanding Study will:

   a. Assess the engineering and operational viability of the MPMET Applicant's proposed Microgrid Boundary,
   b. Produce a description of operations for the CMG that includes the logical architecture for the associated protection, controls, communications, cyber security, and other system components,
   c. Identify the equipment and systems that ensure faults within the microgrid, and unacceptable frequency and voltage, can be detected when in Island Mode,
   d. Identify the controls required to ensure power quality is maintained when in Island Mode,
   e. Identify the required SDG&E-owned Microgrid Special Facilities that, pursuant to Electric Rule 2, will be included in a Microgrid Special Facilities Agreement with the CMG Authority, and
   f. Identify the CMG Authority-owned Balance of System necessary for safe and reliable transition to, operation in, and transition from Island Mode.

   Customer-owned Distributed Energy Resource (DER) controllers and protective relays must be validated by SDG&E for interoperability with SDG&E's electric Distribution System.

3. MPMET Applicant Review

   a. MPMET Applicant will have up to 30 business days to review the Microgrid Islanding Study and sign the Microgrid Special Facilities Agreement. SDG&E will grant a one-time 30 business day extension, if needed.
   b. If, after review of the Microgrid Special Facilities Agreement, the MPMET Applicant declines to proceed with the CMG, the MPMET Applicant will notify SDG&E in writing within 5 business days and the MPMET Application will be deemed withdrawn. N

(Continued)

SCHEDULE MPMET

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MULTI-PREMISE MICROGRID ENABLEMENT TARIFF N

7. COMMUNITY MICROGRID DEVELOPMENT AND OPERATION N

CMG development and operation will be governed by the MOA and/or other similar agreement(s) to carry out this tariff. A CMG's use of SDG&E's Distribution System requires operational coordination for reliability and public safety and for efficient Distribution System operations.

1. Roles and Responsibilities

   a. Distribution Provider. SDG&E as utility Distribution System owner and operator is responsible for providing Distribution Services in both Blue Sky and Island Modes, including the sole determination of when to transition into, and out of, Island Mode.
   b. Distribution Service. SDG&E will provide Distribution Service for the customers and resources within the Microgrid Boundary during Blue Sky and Island Modes pursuant to all applicable rules on file with the CPUC.
   c. Community Microgrid Authority (CMG Authority). During Island Mode, the CMG Authority is responsible for the operation of CMG Authority Resources in coordination with SDG&E's operation of its Distribution System. Such operation must be consistent with relevant provisions of SDG&E's Electric Rule 2, WDAT, and Electric Rule 21, including maintaining frequency, voltage, and power quality within SDG&E-established control parameters to enable the CMG to operate safely and reliably.

2. Microgrid Operating Agreement (MOA). A MOA between the CMG Authority and SDG&E will govern CMG development, testing, commissioning, and commercial operations. The MOA will include operational coordination requirements applicable to the unique characteristics of the CMG and general requirements consistent with relevant provisions of SDG&E's Electric Rule 2, Electric Rule 21, WDAT and associated Interconnection Agreements, Microgrid Special Facilities Agreements, and operating protocols of the Distribution Provider. These requirements are designed to ensure operational coordination for public safety, reliability, and efficient Distribution System operation during Island Mode. Execution of the MOA is contingent on completion of the Microgrid Islanding Study and execution of required Interconnection Agreements and Microgrid Special Facilities Agreements.

   a. CMG Authority and SDG&E will execute a mutually agreeable MOA within 90 business days of execution of the later of any applicable Interconnection Agreements or Microgrid Special Facilities Agreements.
   b. If the CMG Authority and SDG&E fail to execute a MOA within the specific time period, the MPMET Application will be deemed rejected. N

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SCHEDULE MPMET

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MULTI-PREMISE MICROGRID ENABLEMENT TARIFF N

7. COMMUNITY MICROGRID DEVELOPMENT AND OPERATION (continued) N

3. System Change. A System Change will require re-study of the changes in an updated Microgrid Islanding Study.

4. The MOA provides SDG&E the right to suspend CMG operation, change the Microgrid Islanding Point, make other Distribution System Changes as required to meet its service obligations pursuant to all applicable rules on file with the CPUC, or terminate the MOA for CMG Authority's non-performance including failure to pay for the costs of all studies and Distribution System Changes.

5. For any unplanned Distribution System Changes that are necessary to maintain safety or reliability, SDG&E shall take immediate action with no prior notification necessary to the CMG Authority. Within 24 hours, SDG&E shall notify the CMG Authority of the unplanned Distribution System Changes and provide an estimate of how long the changes are expected to persist. If any such unplanned Distribution System Changes are permanent or expected to persist for longer than 3 calendar days, the CMG Authority will be given an opportunity to respond or request more information. If any planned Distribution System Changes are permanent or expected to persist for longer than 3 calendar days, SDG&E will notify the CMG Authority at least 30 business days in advance and the CMG Authority will be given an opportunity to respond or request more information. If any such planned Distribution System Changes are expected to persist for 3 calendar days or fewer, SDG&E will notify the CMG Authority at least 5 business days in advance with no opportunity for the CMG Authority to respond or request more information. In the event the date that SDG&E determines there is a need for a planned Distribution System Change precludes the ability of SDG&E to honor the timing of these notice provisions, SDG&E shall provide notice as soon as is practicable.

8. MPMET SERVICES AND FEES

1. The entities submitting requests to interconnect CMG Authority Resources are responsible for all applicable interconnection study fees and, subject to Section 5.3, any required distribution upgrades, and service upgrades pursuant to applicable rules and regulations including interconnection of resources under Net Energy Metering tariffs.

2. MPMET Applicant is responsible for the Microgrid Islanding Study fees and subsequent Microgrid Special Facilities costs pursuant to Electric Rule 2. N

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SCHEDULE MPMET

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MULTI-PREMISE MICROGRID ENABLEMENT TARIFF N

9. SDG&E TARIFFS, PROGRAMS AND SERVICE AGREEMENTS N

1. SDG&E Tariffs During Island Mode and Blue Sky Mode. Billing for all SDG&E Distribution Customers (bundled or unbundled) will continue to occur under their applicable tariff provisions and rules.

2. Participation in Programs. CMG Authority Resources are eligible to provide distribution services and/or participate in demand side management programs during Blue Sky Mode and Island Mode consistent with applicable tariffs, programs, or procurements. However, during Island Mode CMG Authority is responsible for ensuring such participation does not interfere with the ability of SDG&E to provide safe and reliable Distribution Service. CMG Authority should advise SDG&E of such anticipated participation at the time the Microgrid Islanding Study is initiated so that the potential impacts on Island Mode operation can be accounted for.

10. CAISO MARKET PARTICIPATION

1. Participation in California Independent System Operator (CAISO) Market: During Blue Sky Mode and Island Mode, CMG Authority Resources are eligible to participate in the CAISO markets pursuant to applicable CAISO tariff provisions, CAISO market participation rules, and the governing Interconnection Agreement for each Generating Facility. The CAISO's provisions and rules govern the settlement of energy and ancillary service capacity transactions in the CAISO's forward markets, as well as imbalances based on the difference between metered output/consumption and the forward market results.

11. METERING

Metering requirements applicable to resources and SDG&E Distribution Customers within the Microgrid Boundary are the same as for resources and SDG&E Distribution Customers (bundled or unbundled) outside the Microgrid Boundary. These requirements are defined in the applicable SDG&E Electric Rules including, but not limited to, 2, 15, 16, 18, 19, 21, and SDG&E's WDAT, and for resources participating in the CAISO's wholesale markets, the applicable CAISO metering rules. N

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SCHEDULE MPMET

MULTI-PREMISE MICROGRID ENABLEMENT TARIFF

12. TERMINATION

1. Termination by MPMET Applicant:

   a. MPMET Applicant may terminate the application process, including the Microgrid Islanding Study, for any reason with 30 business days written notice. MPMET Applicant will be responsible for any SDG&E costs incurred through termination date.
   b. CMG development or operation may be terminated pursuant to the terms of the MOA.

2. Termination by SDG&E: SDG&E may terminate a CMG pursuant to the terms of the MOA, or as otherwise provided under this Schedule.

3. MPMET Cure Period: A MPMET Application shall be deemed withdrawn 10 business days after SDG&E has notified the MPMET Applicant in writing that the MPMET Applicant has not submitted sufficient information to enable SDG&E to move forward with processing of the MPMET Application, unless (i) the MPMET Applicant has provided the needed information, or (ii) SDG&E has, in writing, extended the time in which the MPMET Applicant can provide the needed information.

13 MPMET SPECIAL CONDITIONS

The following Special Conditions apply to SDG&E's MPMET:

1. SDG&E may submit a Tier 2 Advice Letter (AL) with the CPUC seeking to modify this Schedule. The AL will be served on the applicable CPUC service list and will be served on the CMG Authority and MPMET Applicants. The AL shall identify the modifications proposed to the Schedule and the reasons for those modifications.

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SCHEDULE MPMET

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MULTI-PREMISE MICROGRID ENABLEMENT TARIFF N

14. MPMET DEFINITIONS N

Capitalized terms in this Schedule have the meaning as defined in this Section.

1. Blue Sky Mode. The mode of operation when the Community Microgrid is connected to, and operating in parallel with, the larger SDG&E Distribution System.

2. MPMET Applicant. The person or entity who submits a MPMET Application to SDG&E pursuant to the terms and conditions of this Schedule.

3. CMG Authority Balance of System. All of the microgrid components owned or controlled by the CMG Authority, other than the CMG Authority Resources, necessary to meet the requirements of the CMG as identified in the Microgrid Islanding Study.

4. Community Microgrid (CMG). For the purposes of this Schedule, a CMG (i) is defined as the tangible and non-tangible assets, facilities and equipment needed to create and operate a Community Microgrid, including the CMG Authority Resources, Microgrid Special Facilities, CMG Authority Balance of System, contract rights, easements, rights of way, licenses and other interests or rights in real estate reasonably necessary for the construction, operation, and maintenance of the Community Microgrid subject to this MPMET, (ii) uses SDG&E distribution facilities, and (iii) enables SDG&E to provide Distribution Services to at least two customers or two customer premises within a Microgrid Boundary during Island Mode.

5. Community Microgrid Authority (CMG Authority). As defined in Section 7.1.c, above. The CMG Authority is the entity that assumes the counter-party responsibilities of the executed MOA.

6. CMG Authority Resource(s). Generating facilities, storage technology and/or load management technology owned or controlled by the CMG Authority within the Microgrid Boundary.

   a. The CMG Authority must have at least one Grid-Forming CMG Authority Resource that has a DER controller and grid-forming capability sufficient to provide acceptable frequency and voltage during Island Mode operation.
   b. CMG Authority Resources must comply with the emissions standards adopted by the California Air Resources Board (CARB) pursuant to the distributed generation certification program requirements of Section 94203 of Title 17 of the California Code of Regulations, or any successor regulation.
   c. CMG Authority Resources must be interconnected to SDG&E's Distribution System within the Microgrid Boundary (either directly as an In-Front-Of-the-Meter (IFOM) CMG Authority Resources or indirectly as a Behind-The-Meter (BTM) CMG Authority Resources connected to a Distribution Customer's electrical system) pursuant to SDG&E's WDAT or Electric Rule 21. N

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SCHEDULE MPMET

MULTI-PREMISE MICROGRID ENABLEMENT TARIFF

14. MPMET DEFINITIONS (continued)

7. Distribution Customer. An end-use customer taking Distribution Service from SDG&E.

8. Distribution Provider. SDG&E, which owns, controls, and operates the facilities and systems to provide Distribution Service to the SDG&E Distribution Customers outside and within the Microgrid Boundary.

9. Distribution Service. The transporting of electric power over and through various SDG&E-owned facilities for delivery to a Distribution Customer. Distribution Service includes all of the associated retail services such as metering, billing, and customer service.

10. Distribution System. SDG&E's distribution system broadly consists of the distribution facilities within transmission/distribution substations, the primary distribution circuits, and the secondary distribution system. The distribution system includes underground and overhead conductors, poles and towers that support overhead conductors, and other SDG&E-owned service-related equipment as defined in SDG&E Electric Rule 16. The secondary distribution system consists of (i) the line transformers that step the primary voltage down to a secondary voltage, (ii) secondary conductors, (iii) service transformers that step the secondary voltage down to the level provided to the customer at the SDG&E meter, (iv) service drops from the service transformers to the SDG&E meter, and (v) SDG&E's electric meters. The provisions of this MPMET apply to service on SDG&E's Distribution System.

11. Effective Date. The date upon which: (1) any CPUC disposition, resolution, or other Commission decision makes this Schedule effective; or (2) if an effective date of the Schedule is not so specified, the date of any CPUC disposition, resolution, or other order that approves the Schedule unconditionally.

12. Emergency Events. As determined by SDG&E in its reasonable discretion, a condition or situation requiring prompt action by SDG&E (i) to maintain the reliable operation of the Distribution System; (ii) to prevent or limit the loss of load or generation; (ii) to maintain public safety or the safety of SDG&E's personnel; (iv) to protect SDG&E, customers, or third-party property; or (v) as a Scheduled Island Mode Operation as a preventative action ahead of impending weather events or natural disasters or in response to other unusual conditions.

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SCHEDULE MPMET

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MULTI-PREMISE MICROGRID ENABLEMENT TARIFF N

14. MPMET DEFINITIONS (continued) N

13. Generating Facility. All generators, electrical wires, equipment, and other facilities, excluding Interconnection Facilities, owned, or provided by the producer for the purpose of producing electric power, including storage.

14. Grid-Forming CMG Authority Resource. A CMG Authority Resource that has the ability to (i) create a stable voltage reference with no reliance on an external grid voltage at a level acceptable to SDG&E when disconnected from SDG&E's distribution system, (ii) maintain this stable voltage upon connection to SDG&E's distribution facilities during Island Mode, and (iii) provide frequency control sufficient to maintain frequency within a range acceptable to SDG&E during Island Mode.

15. Interconnection Agreement. The agreement and associated documents or any successor agreement and associated documentation governing the terms and conditions of the interconnection of CMG Authority Resources with SDG&E's grid under WDAT or Electric Rule 21, including any description of the plan for interconnecting the CMG Authority Resources to the grid.

16. Interconnection Study. A study to establish the requirements for interconnection of a Generating Facility with Distribution Provider's Distribution System or Transmission System, pursuant to SDG&E's WDAT or Electric Rule 21, as applicable.

17. Island Mode. Operation of the Microgrid by SDG&E when a Community Microgrid is disconnected from the larger SDG&E Distribution System at the Microgrid Islanding Point. SDG&E will operate the Microgrid in Island Mode by (i) directly dispatching CMG Authority Resources within the Microgrid Boundary, and/or (ii) setting device parameters (such as protection settings that open breakers when frequency or voltage are outside of specified ranges) within which CMG Authority Resources are required to operate.

18. Microgrid. An interconnected system of loads and energy resources, including, but not limited to, distributed energy resources, energy storage, demand response tools, or other management, forecasting, and analytical tools, appropriately sized to meet customer needs, within a clearly defined Microgrid Boundary that can act as a single, controllable entity, and can connect to, disconnect from, or run in parallel with (Blue Sky Mode) the larger portions of the electrical grid, or can be managed and isolated to withstand larger disturbances and maintain electrical supply to connected critical infrastructure. N

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SCHEDULE MPMET

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MULTI-PREMISE MICROGRID ENABLEMENT TARIFF N

14. MPMET DEFINITIONS (continued) N

19. Microgrid Boundary. An electrically contiguous area which can be separated from the larger SDG&E Distribution System at the Microgrid Islanding Point that defines a microgrid as a single, controllable entity.

20. Microgrid Islanding Point(s). The point(s) on SDG&E's Distribution System that allows the Microgrid to separate from and reconnect to the rest of the Distribution System.

21. Microgrid Islanding Study. An engineering study conducted by SDG&E or its agents to determine (i) the required modifications to SDG&E's distribution facilities, and (ii) the required CMG Authority's Balance of System, to enable safe and reliable Island Mode operation. These modifications are required to provide the requested Microgrid Boundary and to allow SDG&E to operate its distribution facilities in Island Mode at the voltage, frequency and power quality required by Electric Rule 2. The Microgrid Islanding Study also provides the estimated cost and scheduled completion date for the required modifications to SDG&E's distribution facilities.

22. Microgrid Operating Agreement (MOA). As defined in Section 7.2. An agreement between SDG&E and the CMG Authority that governs MPMET CMG development and testing, and commercial operations to ensure safety and service quality in compliance with applicable SDG&E rules.

23. Microgrid Special Facilities. Modifications to SDG&E's distribution facilities required to operationalize the Microgrid Boundary and that allow SDG&E to operate its distribution facilities in Island Mode at the voltage, frequency and power quality required by Electric Rule 2. These modifications shall include all tangible and non-tangible assets, facilities, and equipment owned by SDG&E that are necessary for the safe and reliable operation of the CMG in Island Mode as identified in the Microgrid Islanding Study.

24. Microgrid Special Facilities Agreement (Microgrid SFA). The agreement that describes the SDG&E-owned upgrades on SDG&E's Distribution System, to be installed under the terms and conditions regarding Special Facilities on file with the Commission, pursuant to Electric Rule 2, and incorporated in the MOA. The Microgrid SFA specifies how SDG&E will be compensated for the costs it incurs to build the Microgrid Special Facilities. N

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SCHEDULE MPMET

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MULTI-PREMISE MICROGRID ENABLEMENT TARIFF N

14. MPMET DEFINITIONS (continued) N

25. Non-CMG Authority Resource(s). Generating facilities, storage technology, and/or demand management technology within the Microgrid Boundary that are not CMG Authority Resources.

26. Scheduled Island Mode Operation. A Microgrid operating in Island Mode where such operation is scheduled in advance and coordinated between the CMG Authority and SDG&E.

27. Special Facilities. Shall have the same meaning as defined in SDG&E's Electric Rule 2, as may be modified from time to time.

28. System Change. Any change in CMG Authority Resources, Non-CMG Authority Resources, or customer loads within the Microgrid Boundary, or other affected systems outside the Microgrid Boundary, that has a material impact on the ability of SDG&E to provide Distribution Services at an acceptable frequency, voltage and power quality for the CMG in Island Mode. N